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SAUDI BASIC INDUSTRIES CORPORATION (SABIC)

(A SAUDI JOINT STOCK COMPANY)

CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS
FOR THE THREE AND SIX MONTHS PERIODS ENDED 30 JUNE 2024
AND INDEPENDENT AUDITOR'S REVIEW REPORT

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Report on review of condensed consolidated interim financial statements

To the shareholders of Saudi Basic Industries Corporation (SABIC)
(A Saudi Joint Stock Company)

Introduction

We have reviewed the accompanying condensed consolidated interim statement of financial position of Saudi Basic Industries Corporation and its subsidiaries (the "Group") as of 30 June 2024 and the related condensed consolidated interim statements of income, comprehensive income for the three-month and six-month periods then ended and the condensed consolidated interim statements of changes in equity and cash flows for the six-month period then ended and other explanatory notes. Management is responsible for the preparation and presentation of these condensed consolidated interim financial statements in accordance with International Accounting Standard 34 - "Interim Financial Reporting" (IAS 34), as endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these condensed consolidated interim financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, "*Review of interim financial information performed by the independent auditor of the entity*", as endorsed in the Kingdom of Saudi Arabia. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing, as endorsed in the Kingdom of Saudi Arabia, and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed consolidated interim financial statements are not prepared, in all material respects, in accordance with IAS 34, as endorsed in the Kingdom of Saudi Arabia.

PricewaterhouseCoopers

Bader I. Benmohareb
License No. 471
31 July 2024

برايس وترهاوس كوبرز
محاسبون قانونيون
ترخيص رقم ٢٥
س.ت ١٠١٠٣٧١٦٢٢
PRICEWATERHOUSECOOPERS
CERTIFIED PUBLIC ACCOUNTS
LICENSE NO.25
C.R.1010371622

CONDENSED CONSOLIDATED INTERIM STATEMENT OF FINANCIAL POSITION

All amounts in thousands of Saudi Riyals unless otherwise stated

As at	Note	30 June 2024	31 December 2023
Assets			
Non-current assets			
Property, plant and equipment		**112,919,733**	115,122,579
Right-of-use assets		**5,165,830**	5,578,572
Intangible assets		**19,430,721**	19,763,009
Investments in associates and joint ventures		**40,460,700**	41,237,301
Investments in debt and equity instruments		**573,378**	568,943
Deferred tax assets		**1,957,194**	1,749,286
Derivative financial instruments		**4,269,324**	3,745,176
Other assets and receivables		**9,254,891**	6,011,266
Total non-current assets		**194,031,771**	193,776,132
Current assets			
Inventories		**18,678,218**	18,332,223
Trade receivables		**22,896,760**	19,295,374
Other assets and receivables		**11,523,951**	5,295,155
Short-term investments		**11,105,227**	9,842,617
Cash and cash equivalents		**25,783,481**	32,414,996
		89,987,637	85,180,365
Assets held for sale	*4, 5*	**1,068,521**	15,423,954
Total current assets		**91,056,158**	100,604,319
Total assets		**285,087,929**	294,380,451

As at	Note	30 June 2024	31 December 2023
Equity and liabilities			
Equity			
Equity attributable to equity holders of the Parent		**163,911,586**	167,428,614
Non-controlling interests		**27,382,852**	27,853,926
Total equity		**191,294,438**	195,282,540
Non-current liabilities			
Debt and lease liabilities		**28,903,393**	27,877,638
Employee benefits		**12,711,760**	12,894,392
Deferred tax liabilities		**645,492**	814,942
Derivative financial instruments		**2,287,144**	2,011,144
Provisions and other liabilities		**3,616,615**	2,699,429
Total non-current liabilities		**48,164,404**	46,297,545
Current liabilities			
Short-term borrowings, current portion of debt and current portion of lease liabilities		**5,971,637**	5,619,129
Trade payables, provisions and other liabilities		**39,403,240**	41,480,347
		45,374,877	47,099,476
Liabilities directly associated with assets held for sale	*4, 5*	**254,210**	5,700,890
Total current liabilities		**45,629,087**	52,800,366
Total liabilities		**93,793,491**	99,097,911
Total equity and liabilities		**285,087,929**	294,380,451

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF INCOME

All amounts in thousands of Saudi Riyals unless otherwise stated

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Revenue (refer Note 7)	**35,718,598**	34,097,383	**68,404,421**	70,529,746
Cost of sales	**(28,524,783)**	(28,660,319)	**(55,348,243)**	(59,436,524)
Gross profit	**7,193,815**	5,437,064	**13,056,178**	11,093,222
General and administrative expenses	**(2,424,676)**	(2,149,434)	**(4,787,840)**	(4,207,101)
Research and development expenses	**(480,174)**	(452,641)	**(985,518)**	(898,594)
Selling and distribution expenses	**(2,036,196)**	(1,841,746)	**(3,897,311)**	(3,797,447)
Results from integral joint ventures	**209,584**	440,522	**437,295**	736,815
Other operating income	**311,917**	354,570	**666,145**	686,509
Other operating expenses	**(673,759)**	(144,689)	**(1,177,997)**	(209,569)
Income from operations	**2,100,511**	1,643,646	**3,310,952**	3,403,835
Results from associates and non-integral joint ventures	**317,079**	271,328	**489,843**	244,671
Finance income	**515,357**	1,070,972	**1,189,291**	1,752,227
Finance cost	**(680,090)**	(565,200)	**(1,340,229)**	(1,210,778)
Income before zakat and income tax	**2,252,857**	2,420,746	**3,649,857**	4,189,955
Zakat benefit (expense) (refer Note 5.2)	**545,348**	(440,485)	**213,599**	(918,867)
Income tax expense	**(42,375)**	(13,799)	**(25,876)**	(231,860)
Net income from continuing operations	**2,755,830**	1,966,462	**3,837,580**	3,039,228
Net loss from discontinued operation (refer Note 4)	**(48,322)**	(274,341)	**(434,985)**	(411,289)
Net income	**2,707,508**	1,692,121	**3,402,595**	2,627,939

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Net income from continuing operations				
Attributable to:				
- Equity holders of the Parent	**2,231,848**	1,452,762	**2,864,733**	2,246,617
- Non-controlling interests	**523,982**	513,700	**972,847**	792,611
	2,755,830	1,966,462	**3,837,580**	3,039,228
Net income				
Attributable to:				
- Equity holders of the Parent	**2,183,526**	1,178,421	**2,429,748**	1,835,328
- Non-controlling interests	**523,982**	513,700	**972,847**	792,611
	2,707,508	1,692,121	**3,402,595**	2,627,939
Basic and diluted earnings per share from net income attributable to equity holders of the Parent (Saudi Riyals)				
- Net income from continuing operations	**0.74**	0.48	**0.95**	0.75
- Net income	**0.73**	0.39	**0.81**	0.61

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF COMPREHENSIVE INCOME

All amounts in thousands of Saudi Riyals unless otherwise stated

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Net income	**2,707,508**	1,692,121	**3,402,595**	2,627,939
Other comprehensive income				
Items that will not be reclassified subsequently to the consolidated statement of income				
• Re-measurement gain (loss) on defined benefit plans and others, net of tax	**111,897**	333,487	**600,363**	(48,956)
• Share of other comprehensive income (loss) of associates and joint ventures	**8,732**	15,599	**(72,824)**	157,997
	120,629	349,086	**527,539**	109,041
Items that may be reclassified subsequently to the consolidated statement of income				
• Exchange difference on translation	**(169,638)**	(88,856)	**(616,180)**	318,035
• Share of other comprehensive loss of associates and joint ventures	**(67,293)**	(195,130)	**(673,546)**	(125,622)
	(236,931)	(283,986)	**(1,289,726)**	192,413
Reclassification of other comprehensive income related to discontinued operation				
• Share of other comprehensive loss of a joint venture (refer Note 4)	**(2,111)**	-	**(2,111)**	-
	(2,111)	-	**(2,111)**	-
Net movement of other comprehensive (loss) income	**(118,413)**	65,100	**(764,298)**	301,454
Total comprehensive income	**2,589,095**	1,757,221	**2,638,297**	2,929,393

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Total comprehensive income				
Attributable to:				
• Equity holders of the Parent	**2,053,839**	1,199,809	**1,582,972**	2,134,644
• Non-controlling interests	**535,256**	557,412	**1,055,325**	794,749
	2,589,095	1,757,221	**2,638,297**	2,929,393
Total comprehensive income (loss) attributable to equity holders of the Parent				
• Continuing operations	**2,104,272**	1,473,736	**1,928,982**	2,545,519
• Discontinued operation	**(50,433)**	(273,927)	**(346,010)**	(410,875)
	2,053,839	1,199,809	**1,582,972**	2,134,644

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CONDENSED CONSOLIDATED INTERIM STATEMENT OF CHANGES IN EQUITY

All amounts in thousands of Saudi Riyals unless otherwise stated

	Attributable to the equity holders of the Parent							
	Share capital	Statutory reserve	General reserve	Other reserves	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at 1 January 2023	30,000,000	15,000,000	110,889,032	(1,931,155)	32,088,421	186,046,298	31,570,961	217,617,259
Net income	-	-	-	-	1,835,328	1,835,328	792,611	2,627,939
Other comprehensive income	-	-	-	299,316	-	299,316	2,138	301,454
Total comprehensive income	-	-	-	299,316	1,835,328	2,134,644	794,749	2,929,393
Transfer of statutory reserve	-	(15,000,000)	-	-	15,000,000	-	-	-
Dividends and others	-	-	-	-	(11,400,000)	(11,400,000)	(3,197,278)	(14,597,278)
Balance as at 30 June 2023	30,000,000	-	110,889,032	(1,631,839)	37,523,749	176,780,942	29,168,432	205,949,374
Balance as at 1 January 2024	30,000,000	-	110,889,032	(1,576,557)	28,116,139	167,428,614	27,853,926	195,282,540
Net income	-	-	-	-	**2,429,748**	**2,429,748**	**972,847**	**3,402,595**
Other comprehensive (loss) income	-	-	-	**(846,776)**	-	**(846,776)**	**82,478**	**(764,298)**
Total comprehensive (loss) income	-	-	-	**(846,776)**	**2,429,748**	**1,582,972**	**1,055,325**	**2,638,297**
Reclassification of re-measurement gain on defined benefit plans related to discontinued operation	-	-	-	**(601,895)**	**601,895**	-	-	-
Dividends and others	-	-	-	-	**(5,100,000)**	**(5,100,000)**	**(1,526,399)**	**(6,626,399)**
Balance as at 30 June 2024	**30,000,000**	-	**110,889,032**	**(3,025,228)**	**26,047,782**	**163,911,586**	**27,382,852**	**191,294,438**

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF CASH FLOWS

All amounts in thousands of Saudi Riyals unless otherwise stated

For the six months period ended 30 June	2024	2023
Operating activities		
Income (loss) before zakat and income tax		
• from continuing operations	**3,649,857**	4,189,955
• from discontinued operation (refer Note 4)	**(390,652)**	(355,559)
Adjustment to reconcile income (loss) before zakat and income tax to net cash from operating activities:		
• Depreciation, amortisation and impairment	**6,901,485**	7,210,323
• Fair value re-measurement on assets held for sale (refer Note 4)	**181,728**	-
• Results of associates and non-integral joint ventures	**(489,843)**	(244,671)
• Finance income	**(1,189,291)**	(1,760,347)
• Finance costs	**1,340,229**	1,291,318
• Other movements, net	**29,568**	37,191
Change in operating assets and liabilities:		
Changes in inventories, trade receivables and payables	**(4,806,367)**	1,508,805
Increase in employee benefits	**77,617**	139,690
Other assets and liabilities changes	**(82,874)**	464,969
	5,221,457	12,481,674
Interest received	**603,981**	699,127
Interest paid	**(1,043,537)**	(757,560)
Zakat and income tax paid	**(1,935,259)**	(2,623,199)
Net cash from operating activities	**2,846,642**	9,800,042

For the six months period ended 30 June	2024	2023
Investing activities		
Purchase of property, plant and equipment and intangible assets	**(4,633,601)**	(5,653,398)
Investments in associates and non-integral joint ventures	**(407,889)**	(1,278,102)
Dividend received from associates and non-integral joint ventures	**596,381**	1,012,588
Short-term investments, net	**(785,472)**	2,358,626
Other assets movements	**26,078**	300,122
Proceeds from sale of discontinued operation (refer Note 4.3)	**1,163,045**	-
Cash and cash equivalents transferred (refer Note 4.2)	**(1,365,147)**	-
Net cash flow from disposal of discontinued operation	**(202,102)**	-
Net cash used in investing activities	**(5,406,605)**	(3,260,164)
Financing activities		
Proceeds from debt	**3,322,500**	600,000
Debt and lease repayments	**(2,195,867)**	(1,994,805)
Dividends paid to shareholders	**(4,794,131)**	(5,982,322)
Dividends paid to non-controlling interests	**(1,526,905)**	(2,900,299)
Net cash used in financing activities	**(5,194,403)**	(10,277,426)

CONDENSED CONSOLIDATED INTERIM STATEMENT OF CASH FLOWS (CONTINUED)

All amounts in thousands of Saudi Riyals unless otherwise stated

For the six months period ended 30 June	2024	2023
Decrease in cash and cash equivalents	**(7,754,366)**	(3,737,548)
Net foreign exchange loss on cash and cash equivalents	**(50,590)**	(19,334)
Cash and cash equivalents at the beginning of the period	**33,795,375**	40,039,135
Cash and cash equivalents at the end of the period	**25,990,419**	36,282,253
Cash and cash equivalents	**25,783,481**	36,338,872
Cash and cash equivalents (included in assets held for sale) (refer Note 5.1)	**243,767**	-
Less: Short-term borrowings (bank overdrafts)	**(36,829)**	(56,619)
Cash and cash equivalents at the end of the period	**25,990,419**	36,282,253
Cash flows of discontinued operation (refer Note 4)		

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

All amounts in thousands of Saudi Riyals unless otherwise stated

1. CORPORATE INFORMATION

Saudi Basic Industries Corporation ("SABIC" or "the Parent") is a Saudi Joint Stock Company established pursuant to Royal Decree Number M/66 dated 13 Ramadan 1396H (corresponding to 6 September 1976) registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397H (corresponding to 4 January 1977). The registered office is located at Qurtubah district, P.O. Box 5101, Riyadh 11422, Kingdom of Saudi Arabia ("KSA").

Saudi Arabian Oil Company ("Saudi Aramco") owns 70% of SABIC through one of its subsidiaries, "Aramco Chemicals Company". The Saudi Arabian Government is the largest shareholder by 81.48% direct shareholding in Saudi Aramco. The remaining 30% of SABIC shares are held by the private sector.

SABIC and its subsidiaries (collectively the "Group") are engaged in the manufacturing, marketing and distribution of chemicals, polymers, plastics and agri-nutrients products in global markets.

The condensed consolidated interim financial statements of the Group for the three and six months period ended 30 June 2024 were authorised for issue in accordance with a resolution of the Board of Directors on 31 July 2024.

2. BASIS OF PREPARATION

These condensed consolidated interim financial statements have been prepared in accordance with International Accounting Standard 34 *'Interim Financial Reporting'* ("IAS 34") as endorsed in KSA and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants ("SOCPA").

The condensed consolidated interim financial statements do not include all information and disclosures required in the annual consolidated financial statements and should therefore be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2023.

An interim period is considered as an integral part of the whole fiscal year. However, the results of operations for the interim periods may not be a fair indication of the results of the full year operations.

3. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the condensed consolidated interim financial statements are consistent with those followed in preparing the Group's annual consolidated financial statements for the year ended 31 December 2023, except for the adopted amendments to International Financial Reporting Standards ("IFRS") as elaborated below.

The Group has adopted the following relevant amendments to IFRS as endorsed in the KSA, which are effective for periods beginning on and after 1 January 2024, and have no impact on the Group:

- Amendment to IAS 1: Classification of Liabilities as Current or Non-current elaborates the requirements of 'right to defer settlement' by clarifying the meaning of right to defer and how the classification is unaffected by the likelihood that an entity will exercise such deferral right. The amendments published in 2020 and 2022 respectively, clarify that the classification of liabilities as current or non-current is based solely on a company's right to defer settlement for at least 12 months at the reporting date. The right needs to exist at the reporting date and must have substance. Only covenants with which a company must comply on or before the reporting date may affect this right. Covenants to be complied with after the reporting date do not affect the classification of a liability as current or non-current at the reporting date.

The Group has not early adopted any new standard, interpretation or amendment that have been issued but which are not yet effective.

4. DISCONTINUED OPERATION

On 3 September 2023, the group announced signing an agreement with the 'Public Investment Fund' ("PIF") to acquire all SABIC shares in the 'Saudi Iron and Steel Company' ("Hadeed").

Following the signing of the agreement, Hadeed was presented as 'discontinued operation' under IFRS 5 *'Non-current Assets Held for Sale and Discontinued Operations'*. The assets and liabilities of the disposal group were therefore classified and presented separately as 'held for sale' in the annual consolidated financial statements for the year ended 31 December 2023. These were measured at lower of their carrying amount and fair value less costs to sell (based on the agreement) and depreciation was ceased on relevant assets from the date of their classification as 'held for sale'.

As per 31 May 2024, SABIC had obtained all approvals from the relevant authorities and satisfied all conditions related to the transfer of the ownership of Hadeed to PIF. The final amount of the total sale consideration will be determined once the completion accounts are concluded in line with the agreement which is expected during the second half of 2024.

4.1 Financial performance and cash flow information

Following table presents the financial performance of discontinued operation for the two and five months periods ended 31 May 2024 and three and six months periods ended 30 June 2023:

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Revenue	**1,923,943**	3,069,428	**5,214,495**	6,330,425
Depreciation and amortisation	**-**	(275,435)	**-**	(552,226)
Cost of sales and other expenses, net	**(2,120,743)**	(3,005,197)	**(5,360,409)**	(6,061,338)
Finance income and expenses	**(28,583)**	(39,599)	**(63,010)**	(72,420)
Loss before zakat	**(225,383)**	(250,803)	**(208,924)**	(355,559)
Zakat expense	**(6,799)**	(23,538)	**(44,333)**	(55,730)
Loss after zakat	**(232,182)**	(274,341)	**(253,257)**	(411,289)
Fair value re-measurement on assets held for sale	**183,860**	-	**(181,728)**	-
Loss from discontinued operation	**(48,322)**	(274,341)	**(434,985)**	(411,289)
Re-measurement gain on defined benefit plan	**-**	414	**91,086**	414
Reclassification of other comprehensive loss	**(2,111)**	-	**(2,111)**	-
Total comprehensive loss from discontinued operation	**(50,433)**	(273,927)	**(346,010)**	(410,875)

Following table presents the cash flow information of discontinued operation for the five months period ended 31 May 2024 and six months period ended 30 June 2023:

For the six months period ended 30 June	2024	2023
Net cash generated from (used in) operating activities	**71,792**	(59,988)
Net cash from investing activities	**45,850**	(419,715)
Net cash used in financing activities	**(136,141)**	(135,400)
Net decrease in cash and cash equivalents	**(18,499)**	(615,103)

Loss before zakat and income tax from discontinued operation, as presented in the condensed consolidated interim statement of cash flows amounting to SR 391 million including the additional fair value re-measurement on assets held for sale.

4. DISCONTINUED OPERATION (CONTINUED)

4.2 Assets and liabilities of disposal group classified as held for sale

The carrying amounts of assets and liabilities of disposal group classified as held for sale were:

As at	31 December 2023
Assets held for sale	
Property, plant and equipment, right-of-use assets and intangible assets (i)	5,334,816
Inventories	3,904,243
Trade receivables	2,765,103
Other assets	2,036,146
Cash and cash equivalents	1,383,646
Total assets	15,423,954
Liabilities directly associated with assets held for sale	
Employee benefits	2,957,098
Other liabilities	2,214,757
Trade payables	529,035
Total liabilities	5,700,890
Net assets	9,723,064

(i) The fair value re-measurement has been entirely allocated to 'Property, plant and equipment, right-of-use assets and intangible assets'.

4.3 Loss on sale of Hadeed

Consideration received or receivable:	
Cash	**1,163,045**
Long-term and current receivables (i)	**4,948,492**
Total sale consideration	**6,111,537**
Less: carrying amount of net assets sold	**(9,224,307)**
Loss on sale of Hadeed (ii)	**(3,112,770)**

(i) Receivables from PIF, to be received over two years, are presented net of discounting impact and recognised as a 'financial asset at amortised cost' in accordance with IFRS 9 *'Financial Instruments'*.

(ii) The loss on sale of Hadeed includes fair value re-measurement loss which was recognized during the year ended 31 December 2023 amounting to SR 2,931 million.

The following represents the carrying amounts of assets and liabilities of Hadeed at the date of disposal:

As at	31 May 2024
Assets	
Property, plant and equipment, right-of-use assets and intangible assets	8,270,493
Other assets	9,436,438
Cash and cash equivalents	1,365,147
Total assets	19,072,078
Liabilities	
Employee benefits	2,900,962
Other liabilities	6,946,809
Total liabilities	9,847,771
Net assets	9,224,307

5. SIGNIFICANT MATTERS DURING THE PERIOD

5.1 Assets held for sale

During the period ended 30 June 2024, the assets and liabilities of Film & Sheet (F&S) business, part of Petrochemical segment, have been reclassified to 'assets held for sale' and 'liabilities directly associated with assets held for sale' in these condensed consolidated interim statement of financial position, as a result of operational structural changes based on earlier announcement of divestment.

The divestment will enable SABIC to optimise its portfolio and focus on its core business. The sale of this business is subject to customary conditions and regulatory approvals, and expected to complete within twelve months from the reporting date.

The carrying amounts of assets and liabilities of F&S business classified as held for sale were:

As at	30 June 2024
Assets held for sale	
Property, plant and equipment, right-of-use assets and intangible assets	379,091
Inventories	235,427
Trade receivables	189,904
Other assets	20,332
Cash and cash equivalents	243,767
Total assets	1,068,521
Liabilities directly associated with assets held for sale	
Employee benefits	40,370
Other liabilities	169,812
Trade payables	44,028
Total liabilities	254,210
Net assets	814,311

5.2 Zakat benefit (expense)

The Group reported net zakat benefits of SR 545 million and SR 214 million respectively for the three and six months periods ended on 30 June 2024 (three and six months periods ended on 30 June 2023: zakat expense of SR 440 million and SR 919 million respectively).

The zakat benefit in the current period resulted from a reassessment of the zakat positions in the current and previous years, following the new zakat regulations (Ministerial Resolution 1007) published during 2024, for which the Group has applied retrospective application in Q2 2024.

6. FAIR VALUE MEASUREMENT

	As at 30 June 2024				As at 31 December 2023			
	Level I	Level II	Level III	Total	Level I	Level II	Level III	Total
Financial assets								
Investment in equity instruments	-	38,528	202,392	240,920	3,691	35,555	197,239	236,485
Derivatives financial instruments	-	-	4,269,324	4,269,324	-	-	3,745,176	3,745,176
Certificates of deposits	-	34,756	-	34,756	-	160,226	-	160,226
	-	73,284	4,471,716	4,545,000	3,691	195,781	3,942,415	4,141,887
Financial liabilities								
Derivatives financial instruments	-	-	2,287,144	2,287,144	-	-	2,011,144	2,011,144
	-	-	2,287,144	2,287,144	-	-	2,011,144	2,011,144

The classification methodology used in this disclosure is in line with the annual consolidated financial statements for the year ended 31 December 2023. No transfers were recorded between Level I, Level II or Level III for the six months period ended 30 June 2024.

The following table summarises the information about the significant non-observable inputs used in level III fair value measurements:

Description	Valuation technique	Significant non-observable input	Range
Derivative financial instruments	Market approach	Put options and forward contracts:	
		Equity value to EBITDA multiple	6.3
		Call option valuation:	
		Implied volatility	25% to 30%
		Assumed dividend yield	8.5% to 14.2%
		Risk free rate	4.6% to 4.9%

SABIC accounts for a number of financial instruments, which are measured at amortised cost. The fair value of the majority of these instruments approximate their carrying values, except for debt which has carrying value amounting to SR 29,725 million and fair value amounting to SR 28,763 million as at 30 June 2024 (31 Dec 2023: carrying value amounting to SR 27,971 million and fair value amounting to SR 26,979 million).

The fair value of trade receivables, short-term investments, cash and cash equivalents, trade payables and other financial assets and financial liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The key movements during the six months period ended 30 June 2024 in Level III fair values of financial assets and liabilities amounted to SR 248 million (30 June 2023: fair value gain amounting to SR 938 million) driven by a fair value gain of derivative financial instruments.

A change in the assumptions underlying the valuation of the options of +/- 10% would reflect in a change in the value of the call option up to approximately +/- SR 711 million and approximately +/- SR 242 million in the value of the put/call options (30 June 2023: change of approximately +/- SR 750 million and +/- SR 225 million in value of call option and put/call options respectively).

There is no material unquoted equity instrument at FVOCI to be disclosed separately.

7. REVENUE

Revenue can be broken down as follows:

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Sales of goods	**34,825,658**	33,003,204	**66,523,566**	68,160,402
Logistic services	**796,705**	954,154	**1,639,958**	2,088,383
Rental income	**96,235**	140,025	**240,897**	280,961
	35,718,598	34,097,383	**68,404,421**	70,529,746

Refer Note 9 for the segment and geographical distribution of revenue.

8. RELATED PARTY TRANSACTIONS AND BALANCES

Significant related party transactions and balances can be broken down as follows:

	Sales to related parties			
	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Associates	**23,335**	15,611	**43,885**	49,862
Joint ventures	**1,822,292**	1,558,084	**3,232,273**	3,472,470
Saudi Aramco	**4,350**	2,854	**7,953**	6,312
Saudi Aramco's subsidiaries, associates and joint ventures	**3,439,072**	3,074,985	**6,401,976**	5,776,890

	Purchases from related parties			
	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Associates	**1,285,550**	1,254,661	**2,392,576**	2,524,063
Joint ventures	**4,505,600**	4,079,648	**8,079,131**	8,541,770
Saudi Aramco	**5,535,190**	4,589,920	**10,761,037**	8,763,048
Saudi Aramco's subsidiaries, associates and joint ventures	**4,018,712**	6,612,644	**11,393,541**	11,494,434

As at 30 June 2024	Amounts owed by related parties	Amounts owed to related parties
Associates	**23,784**	**745,450**
Joint ventures	**4,593,783**	**5,453,108**
Saudi Aramco	**10,937**	**3,758,943**
Saudi Aramco's subsidiaries, associates and joint ventures	**1,753,848**	**2,638,634**
	6,382,352	**12,596,135**

As at 31 December 2023	Amounts owed by related parties	Amounts owed to related parties
Associates	22,052	525,347
Joint ventures	4,368,145	5,506,494
Saudi Aramco	4,543	3,856,450
Saudi Aramco's subsidiaries, associates and joint ventures	1,823,502	3,496,446
	6,218,242	13,384,737

	Loans to related parties	
	As at 30 June 2024	As at 31 December 2023
Associates	**31,781**	32,739
Joint ventures	**637,561**	625,795
Entities (FVOCI equity accounted)	**59,903**	48,749
	729,245	707,283

(i) As at 30 June 2024, the outstanding balance of loan from Saudi Aramco was amounting to SR 3,747 million (31 December 2023: SR 3,747 million).

8. RELATED PARTY TRANSACTIONS AND BALANCES (CONTINUED)

Transactions and balances with entities controlled by the Saudi government can be shown as follows:

	For the three months period ended 30 June		For the six months period ended 30 June	
	2024	2023	2024	2023
Purchases of goods and services	**284,829**	587,830	**973,689**	1,263,385
Sales of goods and services	**3,309,561**	2,638	**3,336,102**	8,099

As at	30 June 2024	31 December 2023
Due to entities controlled by the Saudi government	**177,967**	321,812
Due from entities controlled by the Saudi government (ii)	**8,283,259**	6,837
Loan due from entities controlled by the Saudi government (ii)	**1,325,975**	-

(i) During the period ended 30 June 2024, the group obtained all approvals related to the divestment of Hadeed to PIF (an entity controlled by the Saudi government). The Hadeed business was presented as discontinued operation prior to closing of the transaction in these condensed consolidated interim financial statements (refer Note 4).

(ii) Following balances as presented above are related party transactions with Hadeed, an entity controlled by the Saudi government:

- receivable from PIF amounting to SR 4,948 million.
- receivable from Hadeed against the services amounting to SR 3,327 million.
- loan receivable from Hadeed amounting to SR 1,326 million.

9. SEGMENT INFORMATION

For management purposes, the Group is organised into three operating segments.

The **Petrochemicals** segment consists of Chemicals and Polymer products.

- Chemicals products are produced from hydrocarbon feedstock including Methane, Ethane, Propane, Butane, and light Naphtha, with a wide range of products including Olefins, Methanol, Aromatics, Glycols, Carbon Dioxide, Methyl Tert-Butyl Ether (MTBE) and other Chemicals.
- Polymer products include Polyethylene (PE) and Polypropylene (PP), Polycarbonate (PC), and other Polymers products
    - The PE range includes: Linear Low Density Polyethylene (LLDPE), Low Density Polyethylene (LDPE), and High Density Polyethylene (HDPE).
    - The PP range includes Homo, Random and Impact Polypropylene and Polypropylene Compounds Homopolymer, Random and impact copolymer as well as specialty automotive grades.
    - Other key products include Polyvinyl Chloride (PVC), Polyethylene Terephthalate (PET), Polystyrene (PS), and Acrylonitrile Butadiene Styrene (ABS).
- The **Specialties** segment – includes polymer technologies, application development on a global scale, innovative process technologies, and environmentally responsible solutions in almost every area of modern life, from automotive, aviation and electronics to construction, alternative energy, and health care. Specialties' portfolio of flagship products – NORYL™, ULTEM™, EXTEM™ and SILTEM™ resins, a vast range of LNP™ compounds and copolymers, and a variety of thermosets and additives – helps meet complex thermal, mechanical, optical and electrical performance and sustainability requirements.

  Effective from 19 April 2024, the Specialties business was repositioned and moved under the Polymers business.

9. SEGMENT INFORMATION (CONTINUED)

The Specialties segment does not meet the individual reporting requirements of IFRS 8 *'Operating Segments'*. The Specialties amounts therefore are included as part of the Petrochemicals' reporting segment.

The **Agri-Nutrient**s segment consists of a range of fertiliser products; including Urea, Ammonia, Phosphate, as well as compound fertilisers.

Hadeed, a wholly-owned manufacturing business was concerned with production of steel products; long products and flat products. Hadeed has been reported as 'discontinued operation' in these condensed consolidated interim financial statements (refer Note 4).

The Chief Executive Officer monitors the results of its segments for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on income statement and is measured consistently with profit or loss in the condensed consolidated interim financial statements.

The segments' financial details are shown below:

	For the three months period ended 30 June 2024		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Revenue	33,330,113	2,388,485	35,718,598
Depreciation and amortisation	(2,982,720)	(230,021)	(3,212,741)
Impairments and write-offs	(388,378)	-	(388,378)
Income from operations	1,508,508	592,003	2,100,511
Share of results of non-integral joint ventures and associates	15,607	301,472	317,079
Finance income			515,357
Finance cost			(680,090)
Income before zakat and income tax			2,252,857

	For the three months period ended 30 June 2023		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Revenue	31,602,854	2,494,529	34,097,383
Depreciation and amortisation	(3,177,383)	(212,625)	(3,390,008)
Impairments and write-offs	(28,075)	-	(28,075)
Income from operations	982,499	661,147	1,643,646
Share of results of non-integral joint ventures and associates	76,909	194,419	271,328
Finance income			1,070,972
Finance cost			(565,200)
Income before zakat and income tax			2,420,746

	For the six months period ended 30 June 2024		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Revenue	63,752,315	4,652,106	68,404,421
Depreciation and amortisation	(5,978,196)	(452,405)	(6,430,601)
Impairments and write-offs	(470,884)	-	(470,884)
Income from operations	1,988,010	1,322,942	3,310,952
Share of results of non-integral joint ventures and associates	157,527	332,316	489,843
Finance income			1,189,291
Finance cost			(1,340,229)
Income before zakat and income tax			3,649,857

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS (CONTINUED)

All amounts in thousands of Saudi Riyals unless otherwise stated

9. SEGMENT INFORMATION (CONTINUED)

	For the six months period ended 30 June 2023		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Revenue	65,610,189	4,919,557	70,529,746
Depreciation and amortisation	(6,209,298)	(412,130)	(6,621,428)
Impairments and write-offs	(36,669)	-	(36,669)
Income from operations	1,822,629	1,581,206	3,403,835
Share of results of non-integral joint ventures and associates	(228,519)	473,190	244,671
Finance income			1,752,227
Finance cost			(1,210,778)
Income before zakat and income tax			4,189,955

	As at 30 June 2024		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Total assets	**266,367,064**	**17,652,344**	**284,019,408**
Capital expenditure	**4,350,473**	**281,507**	**4,631,980**
Investment in associates and joint ventures	**32,284,040**	**8,176,660**	**40,460,700**
Total liabilities	**90,076,086**	**3,463,195**	**93,539,281**

	As at 31 December 2023		
	Petrochemicals & Specialties	Agri-nutrients	Continuing operations
Total assets	260,315,379	18,641,118	278,956,497
Capital expenditure	8,967,834	899,570	9,867,404
Investment in associates and joint ventures	33,016,209	8,221,092	41,237,301
Total liabilities	89,772,173	3,624,848	93,397,021

Geographical distribution of revenue

	For the three months period ended 30 June 2024		For the three months period ended 30 June 2023	
		%		%
KSA	**5,003,243**	**14**	3,990,439	12
China	**6,245,034**	**17**	6,666,223	20
Rest of Asia	**7,582,404**	**21**	7,163,747	21
Europe	**7,546,134**	**21**	7,801,810	23
Americas	**4,157,972**	**12**	3,730,252	11
Africa	**2,258,107**	**6**	1,677,617	5
Others	**2,925,704**	**9**	3,067,295	8
	35,718,598	**100**	34,097,383	100

	For the six months period ended 30 June 2024		For the six months period ended 30 June 2023	
		%		%
KSA	**9,814,163**	**14**	8,578,998	12
China	**11,857,569**	**17**	13,552,537	19
Rest of Asia	**14,422,832**	**21**	14,922,403	21
Europe	**14,624,936**	**21**	16,556,860	23
Americas	**7,836,641**	**11**	6,604,330	10
Africa	**4,243,670**	**6**	3,688,464	5
Others	**5,604,610**	**10**	6,626,154	10
	68,404,421	**100**	70,529,746	100

The revenue information above is based on the locations of the customers.

9. SEGMENT INFORMATION (CONTINUED)

Geographical distribution for non-current assets excluding financial assets and deferred tax assets

	As at 30 June 2024		As at 31 December 2023	
		%		%
KSA	**97,981,288**	**69**	99,600,827	69
Europe	**18,364,471**	**13**	18,711,114	13
Americas	**22,146,545**	**16**	22,608,242	16
Asia	**2,751,489**	**2**	2,902,078	2
Africa	**36,742**	**-**	41,121	-
	141,280,535	**100**	143,863,382	100

10. APPROPRIATIONS

On 13 Dhu'l-Qi'dah 1445H (corresponding to 21 May 2024), SABIC declared interim cash dividends upon the Board's decision for the first half of the year 2024 amounting to SR 5,100 million (at SR 1.70 per share), which has been recognised in these condensed consolidated interim financial statements for the period ended 30 June 2024.

On 11 Ramadan 1444H (corresponding to 2 April 2023), SABIC distributed cash dividends amounting to SR 6,000 million (at SR 2.00 per share) for the second half of financial year 2022, resulting in a full year cash dividend distribution of SR 12,750 million (at SR 4.25 per share), which was ratified by the General Assembly ("GA") in its meeting held on 4 Dhu Al-Hijjah 1444H (corresponding to 22 June 2023).

On 17 Rabi' al-Awwal 1445H (corresponding to 2 October 2023), SABIC distributed interim cash dividends amounting to SR 5,400 million (at SR 1.80 per share) for the first half of the year 2023.

11. SUBSEQUENT EVENTS

On 2 July 2024, the Saudi Council of Ministers approved an amendment in the Civil Pension and Social Insurance Laws, which stipulates, among other provisions, a gradual increase in retirement age. This change is considered to be a plan amendment with changes in the end of service benefits, post-retirement medical care and continuous service awards which will be recognised as past service costs through the condensed consolidated interim statement of income. Currently, the Group is assessing the impact of this change for its employee benefits.

In the opinion of management, there have been no further significant subsequent events, other than those disclosed in these condensed consolidated interim financial statements, since the period ended 30 June 2024, which would have a material impact on the financial position of the Group as reflected in these condensed consolidated interim financial statements.